2026 Search Strategy

IMC 452 | Individual Assignment #2 | Minko Ma

OBJECTIVES

- **Business:** Grow DTC revenue to 60% of total by EOY 2026; defend market share vs Adidas & On Running
- **Marketing:** Build brand consideration A18-35; convert high-intent search traffic directly to nike.com
- **Media:** Prioritize branded search to protect nike.com traffic; shift budget toward DTC channels to reach 60% direct sales mix

ROI MEASUREMENT

- **ROAS (Brand vs Non-Brand):** Track efficiency by keyword type; optimize via smart bidding toward conversion value
- **Incrementality (iROAS):** Geo holdout tests measure true lift vs organic demand
- **Online → Offline Impact:** Quantify Search-influenced in-store revenue, not just online

COMPLEXITY

- **Split Model** ~40% DTC vs ~60% wholesale — 1st party data gap on majority of conversions
- **Attribution** Consumer searches Nike → ad click → buys at retailer. Search credited 0% of that sale
- **Conquesting** Adidas & retailers bid on our own brand terms, driving up our branded ad costs

WHERE SALES OCCUR

40% — Nike.com + App
Full 1st party data · highest margin · Search directly attributable

45% — Wholesale Retail
Foot Locker, Dick's · zero conversion data · Search impact invisible to CFO

15% — Amazon & Other
Brand defense via Amazon Ads · declining as DTC share grows

SEARCH AD STRATEGY

01 Google

Priority 1 — 90.1% market share
As the dominant search platform, Google drives the majority of DTC conversions. We invest across Brand and Non-Brand keywords, Shopping Ads (PLAs), and Dynamic Search Ads to capture demand at every stage, from awareness to conversion.

02 amazon

Priority 2 — Purchase environment defense
With 15% of sales on Amazon, Sponsored Products on Nike brand terms block Adidas conquesting at the point of purchase. Retail Media investment closes the attribution gap where wholesale data goes dark.

03 AI Search

Watch List
AI-native search (ChatGPT / Perplexity) holds 3.5% share and growing. While no immediate budget shift is planned, AI search optimization (AEO/GEO) will be prioritized as this channel matures.